

Musings on Markets

My not-so-profound thoughts about valuation, corporate finance and the news of the day!

Monday, June 9, 2014

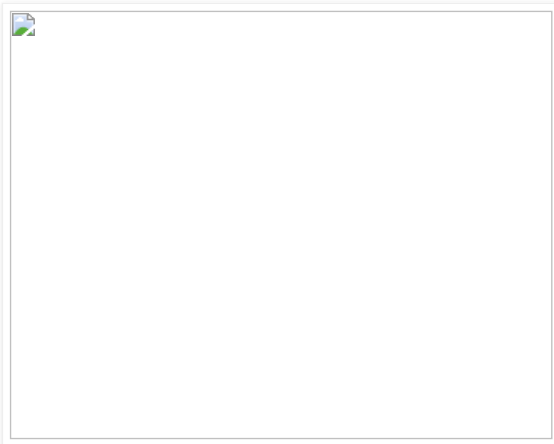
A Disruptive Cab Ride to Riches: The Uber Payoff

On June 3, [news reports carried the story](#) that multiple investors (including big name institutional investors like Wellington & Fidelity) had invested \$1.2 billion into Uber, a technology company that matches consumers to car services in many cities around the globe. Based on the investment (and the percentage of ownership that these investors were getting in exchange), the imputed value for Uber (pre-money, i.e., prior to the influx of \$1.2 billion) was \$17 billion, a mind-boggling sum for a business that generates a few hundred million in revenues and has little to show in terms of operating income. That said, Uber has lots of company in this high-value space, with Airbnb and Dropbox being two other companies that in recent months have been valued at more than \$10 billion by investors. With all these companies, the key selling point is [disruption](#), [the latest buzzword in strategy](#), with company owners arguing that they are upending existing ways of doing business (hailing a taxi, with Uber, and finding lodging, with Airbnb) and given the sizes of the businesses that they were disrupting, that the sky is the limit on value.

If you are old enough to remember market fevers from past booms, you are probably inclined to dismiss both the claims and the valuations as fantasy. I do believe, however, that there is a kernel of truth to the disruption argument though I think investors are being far too casual in accepting it at face value. As I attempt to attach a value to Uber, I have to confess that I just downloaded the app and have not used it yet. I spend most of my life either in the suburbs, where I can go for days without seeing a taxi, or in New York City, where I find that the subways are a vastly more time-efficient, cheaper and often safer mode of transportation than taxis.

Uber: The business model

Uber is not in the taxi business, at least in the conventional sense, since it owns no cabs and has no cab drivers as employees. Instead, it plays the role of matchmaker, matching a driver/car with a customer looking for a ride and taking a slice of the fare for providing the service. Its value comes from the [screening that it does of the drivers/cars](#) (to ensure both safety and comfort), its pricing/payment system (where customers choose the level of service, ranging from a car to a SUV, are [quoted a fare](#) and pay Uber) and its convenience (where you can track the car that is coming to pick you up on your phone screen). The figure below captures the steps in the Uber business model, with comments on what it is that Uber offers at each stage and whether that offering is unique:



Uber has been able to grow at exponential rates since its founding in 2009 by Garrett Camp and Travis Kalanick, with the latter (who is new CEO) claiming that it is doubling its size every six months. While we have no access to the company's financials, there have been periodic leaks of information about the company that allow us to get a sense of its growth. Here, for instance, was a picture that was widely dispersed in December 2013 of a five-week period in late 2013:

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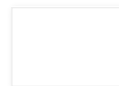
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I am a Professor of Finance at the Stern School of Business at NYU. I teach classes in corporate finance and valuation, primarily to MBAs, but generally to anyone who will listen.

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METRICS	TRIPS	DRIVERS	COMMUNITY	CITIES	VEHICLES	ENG
Uber Global						
Last updated: November 20, 2013 16:27:06 (GMT-0800 (PST))						
	2013-10-14	2013-10-21	2013-10-28	2013-11-04	2013-11-11	2013-11-18
Revenue	\$19,303,828	\$20,770,801	\$20,123,946	\$21,023,868	\$21,301,835	\$6,941,013
Signups	76849	78284	79432	78139	84756	28537
Active Clients	401020	424894	435468	434066	453946	172355
Eyeballs	1791740	1878555	1905419	1901477	2008775	698273
Zeros	206330	186583	195533	174062	178955	69865
Requests	1086440	1068899	1337091	1027482	1155070	350552
Completed	720319	783685	806436	820757	882858	263294
						687689

While the company claimed to be outraged by the leak, it played nicely into the narrative of growth that it was selling to its investors. In fact, the December leaks suggested that the company generated gross receipts (the fares paid by customers for cab rides) of \$1.1 billion, which would translate into revenues of \$220 million (based on the 20% slice that Uber claims for itself). That was a few months ago and at the rates at which the company is growing, I would not be surprised if the updated values for both numbers are higher; *I will be using \$1.5 billion for the gross receipts and \$300 million as revenues for Uber as base year numbers.*

There was no information that I could find on the company's expenses and income, but according to public sources, the company has 900 employees in its different locations and that it [pays them reasonably well](#). Uber has been active in both marketing its service and offering deals to attract firms time customers and has an active technology department (doing the equivalent of R&D). In summary, these expenses are likely to have been much larger than the revenues (of \$300 million) posted during the period. Since the company can legitimately argue that some of these expenses (such as the R&D and customer acquisition costs) are more in the nature of capital expenditures than operating expenses, *I will assume (generously) that the company generated an operating income of \$10 million in the most recent 12 months.* (The effect on value of changing this number is relatively small).

An intrinsic valuation of Uber

There are many who will argue that this too young a company and that there is too much uncertainty for an intrinsic valuation. I have argued in prior posts and in [this paper](#) that this argument is a cop-out, since not dealing with uncertainty does not make it go away. Having said that, I would hasten to add that what follows is my estimate of value for Uber, not the true value.

A. Potential Market: Size and Growth

For my base case valuation, I am going to assume that the primary market that Uber is targeting is the [taxi and limo service market](#), globally. I know that there is talk (some from Uber's management and some from analysts) that Uber could extend its reach into other businesses (car rentals, moving and even driverless cars), but I don't see any evidence that it has succeeded in making any breakthroughs (yet) and will come back to this question later in my post.

The global market for taxis and car services may be a big one but it very splintered, with lots of small, local operators dominating each city. In many cities, this is also a cash business where there are no easy ways to track the total revenues generated by all operators. However, there is data that we can build on. For instance, there seems to be consensus that the most lucrative cab market in the world is in Japan, where [revenues are estimated to be about \\$20-\\$25 billion annually](#) just in Tokyo, followed by the UK (with [revenues of \\$14 billion, with the bulk from London](#)) and the US ([with \\$11 billion overall and about \\$3 billion in New York](#)). *Making a judgment that taxi revenues currently in the rest of the world will add another \$50 billion to this total, I arrive at a total market for taxi and limo services of \$100 billion.*

It is true that many cities, especially in Asia and Latin America, are under served currently and that the taxi business globally will continue to grow at well above the 2-3% rate that we have observed in the US, Japan and UK, and that services like Uber will contribute to the faster growth. *I will estimate an expected growth rate of 6% a year for the next decade, increasing the overall market to \$183 billion in 2024.*

B. Status quo, competition, market share and Uber's slice (revenues)

The taxi and limo market currently is dominated by small, local players and is regulated in most cities. The cities restrict entry into the market and in return, they regulate the prices that cabs can charge their customers (more effectively in some cities than others). While Uber has only a minuscule slice of the overall revenues currently, the market share that it can aspire to get will depend upon the following factors:

1. **The efficiency of the status quo or producers/consumers:** Under the existing system, cab drivers get a relatively small share of the taxi revenue pie (5-10%) and customers in many cities (which are under served) either find themselves without taxis, have to wait a long time or have to pay outlandishly high prices (as attested by the carfare from Narita airport in Tokyo into the city). Thus, both [cab drivers](#) and customers may be open to a different way of doing business.
2. **Competition:** Uber uses technology to deliver car services to customers, but it is not the only company that is doing so. Other competitors like Lyft and Hailo also provide similar services and they have their own deep pocketed investors. As I said up front, I am not familiar enough with these different services to have any preferences, but [this article compares the experiences of Wall Street Journal reporters with different services](#) and does not find a dominant one.
3. **Regulation:** The cities where Uber and its competitors are trying to generate their revenues are regulated at the moment, and the the existing players (taxi owners, taxi drivers in

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traditional companies, city regulators) will make it [difficult for these new players to compete](#). These difficulties will affect the speed with which these services are able to penetrate these markets and increase the costs of operating in the business.

Even an optimist on Uber will have to accept that the combination of regulatory restrictions protecting the status quo and the stream of me-too competitors will make it difficult for the company to dominate this market. Even in an optimistic scenario, the former will add costs to Uber's business model and the latter will put pressure on Uber (as it already seems to be doing in some markets) to reduce its slice of the gross receipts from 20% to 10-15% or even lower. *My estimate that Uber will get a 10% market share of the overall market is at the optimistic end of the spectrum, especially if you view it in conjunction with my assumption that Uber will continue to be able to keep its slice of these gross receipts at 20%.*

3. From revenues to profits

To get from revenues to operating profits, we have to consider what Uber's operating expenses will be, once it hits steady state, i.e., does not have to incur large expenses attracting new customers. The structure of the business is such that the operating expenses are largely on creating the infrastructure to provide taxi services in different cities and that once established, the cost of these services should decline relative to revenues. This should lead to healthy operating margins, similar to those earned by other established technology companies. *I will assume that Uber's operating margin, in steady state, will be 40%, towards the top decile of technology companies.*

4. Investing for growth

Right now, Uber does not own the cars that the drivers use and the bulk of the investment is in technology infrastructure (R&D and related expenses). At first sight, this would suggest that the company should be able to grow at high rates, with relatively little reinvestment. However, our experiences with technology companies (including Google, Twitter and Facebook) suggest that Uber will be forced to reinvest, especially as it scales up, and that this reinvestment will take the form of acquiring new technologies and companies. (Consider how much Facebook has spent on acquisitions just in this year)

The metric that I will use for reinvestment is one that you may be familiar with, if you have seen my other young company valuations, and it is the [sales to capital ratio](#). This number measures how much incremental revenue you expect to generate for each incremental dollar of investment; the higher this number, the less capital investment is needed to expand this business. The median value for technology companies on this is about 2.50, the median value for all US companies is about 2.00 and a really high number would be about 10.00. *I will assume that the sales to capital ratio for Uber will be 5.00, towards the high end of the spectrum.*

5. Risk

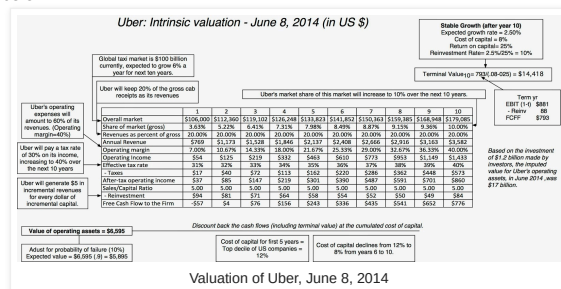
Is there a lot of risk in investing in a young, start-up like Uber? Of course, but much of the risk in the investment is survival risk (i.e., that the company will not make it as a going concern) and not operating risk. The discount rate, the primary mechanism for adjusting for risk in a discounted cash flow valuation, is designed to capture the latter and is ill-suited for reflecting the former, notwithstanding venture capitalists' attempts to push it into a target rates of return.

Looking at the operating risk side of the equation, the taxi business is a cyclical one, with revenues tied to economic growth. There are only a handful of publicly traded cab companies in the world, but the [cost of capital of companies in the transportation business in US dollars is about 7.08% for US companies and 6.93% for global companies](#). *As a young, start-up with higher fixed costs, Uber is undoubtedly more risky than the average company in this sector and I will assume that its cost of capital is 12% (the top decile of US companies). As it matures and becomes a larger, more profitable company, I will assume that the cost of capital will decline towards 8%, the median for US companies. (I don't think that Uber will carry the debt that a typical transportation company carries and thus will not be able to push its capital towards the industry average of 7%.)*

On the risk of failure, Uber has passed its most critical tests. It has a product/service that is generating revenues, has relatively little debt or fixed commitments and most importantly, it has access to capital. In fact, the \$1.2 billion in cash that it will raise in its latest round of capital should provide it with enough of a cash cushion to survive leaner times, at least in the near term. *As a result, I will assume that there is only a 10% chance of failure in Uber and that the company's liquidation value will be zero.*

6. The value

With these pieces in place, I arrive at a base case valuation of \$5.895 billion for Uber, as shown in the figure below:



- ▶ March (6)
- ▶ February (5)
- ▶ January (5)
- ▶ 2013 (36)
- ▶ 2012 (49)
- ▶ 2011 (55)
- ▶ 2010 (45)
- ▶ 2009 (60)
- ▶ 2008 (42)

The value of \$5,895 million is a value for the operating assets and any existing cash would have to be added back and debt netted out. Given that neither debt nor cash is likely to be a large number right now, it is directly comparable to the value that venture capital investors are attaching to the company now. As with my other valuations, you can [download this one](#) and make your own judgments on what the future holds for Uber. (This is a generic spreadsheet that you can use to value any start-up and you can try it on Airbnb and Dropbox, if you are so inclined.)

7. Break even points

The imputed value for Uber, based on what investors demanded for their \$1.2 billion last week, is \$17 billion, well above my estimate of value. It is entirely possible that the error is mine and that I have under estimated a key input into value. In particular, there are three key drivers of Uber's value:

- (a) the potential market, which I estimated to be \$100 billion
- (b) the market share that Uber will command of that market (my estimate is 10%) and
- (c) the slice of gross receipts that Uber will get to keep (which I have left at 20%)

Changing any or all of these assumptions will change value. In the table below, I hold the gross receipt slice constant, at 20%, and change the potential market size and Uber's market share to arrive at the following numbers:

Target Market Share (in %)	Potential market (in millions of US\$)					
	\$50,000	\$100,000	\$150,000	\$200,000	\$250,000	\$300,000
5.00%	\$1,545	\$2,995	\$4,445	\$5,895	\$7,345	\$8,795
7.50%	\$2,270	\$4,445	\$6,620	\$8,795	\$10,970	\$13,144
10.00%	\$2,995	\$5,895	\$8,795	\$11,694	\$14,594	\$17,494
12.50%	\$3,270	\$7,345	\$10,970	\$14,594	\$18,219	\$21,844
15.00%	\$4,445	\$8,795	\$13,144	\$17,494	\$21,844	\$26,194
17.50%	\$5,170	\$10,245	\$15,319	\$20,394	\$25,468	\$30,543
20.00%	\$5,895	\$11,694	\$17,494	\$23,294	\$29,093	\$34,893

Value of operating assets for Uber, keeping revenue slice at 20% and other inputs fixed

The shaded numbers indicate the combinations of total market/market share that you would need to deliver. In particular, the total market has to be either three times bigger than my estimate (around \$300 billion) or the market share has to be more than twice my estimate (20% and higher) to justify the \$17 billion value.

Holding the market share fixed at 10%, I looked at the effect on value of changing the potential market and the percent of gross receipts that Uber receives, and the effects are summarized below:

Uber's share of gross receipts	Potential market (in millions of US\$)		
	\$100,000	\$200,000	\$300,000
5%	\$1,818	\$3,556	\$5,294
10%	\$5,895	\$6,269	\$9,360
15%	\$4,536	\$8,982	\$13,472
20%	\$5,895	\$11,694	\$17,494
25%	\$7,254	\$14,407	\$21,561

Uber operating asset value, holding market share and other inputs fixed.

The effects of a reduced market slice are more devastating to value, with even a \$300 billion total market (with a 10% market share) being insufficient to break even, with a \$17 billion value, if Uber keeps less than 20% of gross receipts.

The bottom line: Viewed as a car service company, even with optimistic assumptions about market growth, market share and profitability, Uber's value is about \$6 billion. The combination of assumptions that you would need to get to \$17 billion is improbable, at least in my view. It is possible that I am missing the value of new markets that Uber may be able to enter but I will reexamine that possibility later in this post.

Pricing Uber

As I have argued in [many of my blog posts](#) over the last two years, the value of an asset can be very different from its price. The former is determined by the interplay of fundamentals (cash flows, growth and risk) whereas the latter is a function of demand and supply. To price an asset, you follow two simple steps. In the first, you look for a metric that the market is scaling the price to; that metric can be an operating number like revenues or earnings or an intermediate number like number of users or customers. In the second, you identify "comparable" companies, i.e., companies that are like the one that you are valuing and compare the scaled price (the multiple) across these companies. Most investors and analysts are more comfortable pricing assets, rather than valuing them, and this is especially the case with young companies like Uber. So, is that what investors are doing to arrive at the \$17 billion price for Uber? To make that judgment, let's look at the choices when it comes to pricing metrics and comparable firms.

Pricing Metric

You cannot compare values or market capitalizations across companies, because companies can vary in terms of size and scale. Dividing the estimated value by a scaling variable creates a multiple that can be compared across companies. With mature companies, you scale market value (equity or enterprise) to measures of earnings, dividing market capitalization by net income to get to a PE ratio or enterprise value by operating income or EBITDA to get an enterprise value multiple. With young companies, where earnings are often negative or minuscule, earnings multiples either cannot be computed or are not meaningful. In fact, the only current operating number that is consistently positive at those companies is earnings, explaining why revenue multiples are so widely used at this stage in the life cycle. The fact that revenue multiples can be computed does not necessarily mean that they are useful in valuation. Dividing Uber's value (\$17 billion) by the revenues (\$300 million) yields a revenue multiple of 56.67, an outlandishly high number but one that tells you little about the pricing of the company, partly because investors are pricing these young companies on potential, not current performance.

One solution to the problem with current numbers not reflecting potential is to use expected future revenues or earnings in computing multiples. Thus, you could divide the enterprise value today by the expected revenues in five or ten years and compare these forward multiples across companies. Applying this approach to Uber, I divided the enterprise value of \$17 billion by my expected revenues in ten years (\$3.59 billion) to yield 4.75, still a high number and one that should be compared to the same multiple (enterprise value to future sales) computed for other companies. The problem with this approach is two-fold. The first is that you need to forecast revenues for each company in your sample, not just the company that you are valuing. The second is that these multiples are only as good as your revenue forecasts, making this a joint test of the multiple and your forecasting ability.

In my [post on Whatsapp and Facebook's valuation of it](#), I noted that the metric that best explains the difference in values across companies is not revenues or earnings, but the number of users. While that may strike some as being irrational, it is not unreasonable to assume that companies with more users are better positioned in terms of potential. If Uber, Lyft and Hailo (all of which operate in the taxicab market) were all publicly traded, what equivalent metric would investors focus on? It could be the number the subscribers to the service, the number of rides taken by these subscribers or even the number of cabs covered by the service. For the moment, though, we are still in the dark about all of these statistics for these companies.

Comparables

In pricing, the choice of companies that you compare your company to is critical. In fact, one simple way to tilt the pricing in the direction that you want it to go is to change the firms that you use in your comparison. In the case of Uber, we will first try to value it, relative to other publicly traded young technology firms and then try again, relative to private technology companies that have received venture capital infusions in the last year.

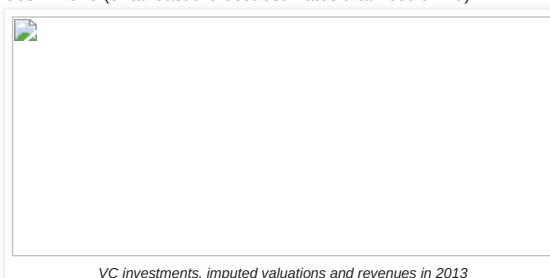
If we define Uber's comparable companies as young, technology companies that are being priced on potential, the most obvious subset of companies that we can compare it to are social media companies. In the table below, I update the numbers for social media companies, with key multiples computed in the last four columns:

Company	Market Cap	Enterprise value	Revenues	EBITDA	Net Income	Number of users (millions)	EV/User	EV/Revenue	EV/EBITDA	PE
Facebook	\$160,400.00	\$148,160.00	\$8,300.00	\$4,660.00	\$3,510.00	1280.00	\$115.75	16.61	31.79	81.98
Groupon	\$3,980.00	\$2,940.00	\$2,730.00	\$118.00	-\$129.00	43.00	\$68.37	1.08	24.92	NA
LinkedIn	\$19,090.00	\$16,790.00	\$1,680.00	\$166.00	-\$9.00	300.00	\$55.97	9.99	101.14	NA
Netflix	\$25,780.00	\$25,010.00	\$4,620.00	\$343.00	\$163.00	44.00	\$568.41	5.41	72.92	158.15
Open Table	\$1,660.00	\$1,540.00	\$198.00	\$60.00	\$23.00	14.00	\$110.00	7.78	25.67	72.17
Pandora	\$5,260.00	\$4,910.00	\$734.00	-\$8.00	-\$20.00	73.40	\$66.89	6.69	NA	NA
TripAdvisor	\$14,840.00	\$14,740.00	\$996.00	\$322.00	\$211.00	260.00	\$56.73	14.81	45.80	70.37
Trolla	\$1,460.00	\$1,470.00	\$174.00	-\$18.00	-\$31.00	35.30	\$41.64	8.45	NA	NA
Twitter	\$19,460.00	\$17,480.00	\$801.00	-\$616.00	-\$751.00	255.00	\$68.55	21.82	NA	NA
Yelp	\$4,670.00	\$4,280.00	\$261.00	\$1.40	-\$8.00	120.00	\$35.67	16.27	3057.14	NA
Zillow	\$4,670.00	\$4,380.00	\$225.00	-\$7.00	-\$15.00	34.50	\$126.38	19.38	NA	NA
Zynga	\$2,630.00	\$1,850.00	\$778.00	\$33.00	-\$102.00	27.00	\$68.52	2.38	56.06	NA
Median							\$68.45	9.22	50.93	78.08

Enterprise and market values from June 2014, Trailing 12 month numbers

Since the only number that we have some measure of (and a rough one at that) is Uber's revenues (\$300 million), applying the median multiple of 9.22 yields a value of \$2.766 billion for Uber. Even applying the highest value (Twitter's EV/Sales of 21.82) yields a value of \$6,546 million, well below the \$17 billion estimate. Uber reports the number of cities that it operates in, but it provides no detail on the exact number of subscribers to the service and the number of rides that it provides. Even extrapolating from the leaked report (shown towards the top of this post), that shows up 90,000 new users signing up each week, I get 4.68 million sign ups for a year and perhaps 15 million subscribers overall. Applying the median value of \$70/user to this number leaves you with \$1.05 billion and even applying the high (Netflix's \$568/user) yields a value of just over \$8.5 billion.

It is possible that the investors in Uber are comparing its pricing to the imputed pricing of the other non-public "big" companies in this space. In the table below, I have highlighted the largest private technology companies with VC investments in the last 12 months, the imputed valuations and the revenues in 2013 (or at least the best estimates that I could find):



VC investments, imputed valuations and revenues in 2013

Even in the rarefied air of VC valuations, Uber's \$17 billion dollar value stands out as an outlier. Applying the median multiple of revenue (32.14) across just these companies to Uber's revenues would still leave you with a valuation just under \$10 billion.

The bottom line: Even if I use the most favorable pricing metric (revenue) and comparable firms (other favored VC targets), it is difficult to justify a price greater than \$10 billion.

Uber, the disruptor

This brings us back full circle to the disruption argument. When Clayton Christensen coined the term "disruptive innovation" a few decades ago, I am sure that he never foresaw its popularity with investors, analysts and companies. Christensen draws a [contrast between sustaining innovations, which advance the status quo \(and established players\) and disruptive innovations,](#)

which new entrants introduce to disrupt the status quo. With the latter, Christensen's story mirrors David and Goliath, with the new entrants winning out over larger, entrenched entities, partly because they have little to lose from upending the status quo.

While I admire the big picture perspective that strategists like Michael Porter and Christensen have brought to business, I am, by nature, a skeptic and feel the urge to tie the big picture to the bottom line. As I see it, disruptive innovation affects value at two levels. In the first, it allows a new entrant to enter a targeted market, disrupt the status quo and then capture the excess profits in that market. That can be captured in a discounted cash flow valuation, which is what I attempted to do in my intrinsic valuation of Uber. The second level at which disruptive innovation affects value is more subtle. Assuming that the disruptor is able to succeed in its targeted market, success in that market may allow the disruptor to enter new and potentially larger markets in the future. The fact that these markets are undefined at the moment and the odds of success are low mean that the intrinsic value added from this possibility is small. However, the fact that the disruptor does not have to commit to investing in these new markets until the outcome from the initial market is known, as well as the potentially large profits from this expansion, give it the characteristics of an option. I do not want to entangle myself in the mechanics of option pricing in this post, but the value of this disruption option is an add-on to the intrinsic value and will increase with the size of the potential markets, the uncertainty/risk in these markets and the competitive advantages that the disruptor brings to these markets.

	<i>First level disruption</i>	<i>Second level disruption</i>
<i>Market</i>	Targeted market	Potential market(s)
<i>Market details</i>	Specific	Diffuse
<i>Tool for valuation</i>	Discounted cash flow valuation	Option Pricing
<i>Output</i>	Intrinsic value (from DCF)	Option value, added as a premium to intrinsic value
<i>Drivers of value</i>	Increases with size of market, inefficiencies in status quo and competitive advantages of disruptor.	Increases with size of markets and uncertainty about the market.
<i>Risk & Value Effects</i>	Incorporated into discount rate, with value decreasing as risk increases.	Incorporated into volatility estimated, with value increasing as risk increases.

Applying these very general concepts to Uber, the attraction to investors is clear. Uber's contention is that it is targeting the car service market for the moment but its intention is to use success in this market to expand into other markets. While we can be skeptical and uncertain about its chances of success in these fuzzily defined markets, that uncertainty, which would reduce intrinsic value, increases the value of the disruption option. To give Travis Kalanick, the co-founder and CEO of Uber, credit, [his subtle pitch that Uber is in the logistics business](#) plays into the option narrative, as does the fog that the company has created around specifics.

It is easy to see the allure of the option argument, where uncertainty becomes your ally and big markets beckon, but as investors, we need to understand that most deep out-of-the-money options never get exercised and that the company owners/managers cannot be given free rein over narratives. I am not privy to the questions that investors in Uber asked before they made their investment, but I would hope that they pushed Mr. Kalanick to be specific about his expansion plans, the details of growth and what it is costing to deliver that growth, and most importantly, what will give Uber the exclusivity to be able to advance into new markets faster and more profitably than its competitors (both current and new).

Bottom line: Can the disruption option explain the difference between the assessed value (\$17 billion) and the estimated value (\$6 billion, with intrinsic valuation)? It is possible but not probable. For the option to be worth \$11 billion, the potential markets that Uber can enter, assuming it is successful in the car service business, will have to be at least four times larger than the base market (the \$100 billion taxicab market). I know that there is talk of Uber becoming a player in a futuristic world of driverless electric cars, but even if that scenario unfolds, I don't see why Google and Tesla would let Uber have anything more than crumbs off the table.

The end game

The numbers seem to indicate that Uber is being overpriced by investors who have valued it at \$17 billion. Since these investors are presumably sophisticated players, how would I explain their pricing? I will not try, since I did not pay the price, but it is worth remembering that even smart investors can collectively make big mistakes, especially if they lose perspective. The tech world is a cloistered one, where the leading players (venture capitalists, managers, serial entrepreneurs) immerse themselves in minutiae and know and talk to each other (and often only to each other). Not surprisingly, they develop tunnel vision where technology (or at least their version of it) is the answer to every problem, the status quo is both inefficient and easily disrupted and 50 times revenues is cheap! If history is any guide, tech geeks are just as capable of greed and irrational exuberance as bankers are.

Attachments

[Intrinsic Valuation of Uber](#)

[Uber Pricing: Multiples and Comparables](#)



47 comments:

Anonymous said...



Nice post ,where do you think taxi medallion mkt should be with uber valuations higher or lower? One article said Boston mkt was higher.

[June 9, 2014 at 4:59 PM](#)

AMINA ADO said...



Thanks prof. It is really necessary to make these calculations despite the uncertainty and the need to make some assumptions. It forces you to see that the price assigned is too high relative to the calculated intrinsic value despite optimistic assumptions. Whether one acknowledges the over valuation or not is off course a different matter.

[June 9, 2014 at 5:01 PM](#)

Aswath Damodaran said...

I would expect them to be lower, if investors truly expected Uber and its competitors to succeed and get a large share of this market. In New York City, the effect has been muted but it is still early.

[June 9, 2014 at 5:03 PM](#)

Pramod said...



I feel your argument about the disruption option being "possible but not probable", is underestimating both the potential market size and the level of innovation that is taking place. The market for Uber, in my opinion, already includes car ownership, public transportation and rental car services.

Consider this quote from Kalanick from a WSJ interview -

"So what is that vision?... It's a reflection of our mission to turn ground transportation into a seamless service. **Basically make car ownership a thing of the past...** If you just looked at San Francisco, the ground transportation market in just San Francisco — where people pay to get in a car and go somewhere, whether they own the car or otherwise — is **\$22 billion**. No wonder we're several hundred million in size just in SF, and growing faster this year than last year."

Moreover, we also need to consider the potential of driverless cars.

"The reason Uber could be expensive is because you're not just paying for the car — you're paying for the other dude in the car," Kalanick said. "When there's no other dude in the car, the cost of taking an Uber anywhere becomes cheaper than owning a vehicle. So the magic there is, **you basically bring the cost below the cost of ownership for everybody, and then car ownership goes away.**" It's important to note that Google Ventures is a major investor in Uber and therefore a potential acquirer should driverless cars take off. The technology will confer competitive advantages to Uber that other services cannot easily match, pushing up both the margins and market share.

The above scenarios are call options for sure, but considering the level of innovation going on, I don't believe they are deep out-of-the-money. I would be surprised if Google does not cause a few ripples in the car market by 2020. Your thoughts?

[June 10, 2014 at 2:02 AM](#)

Em said...



I think there is an element missing on liquidation value, which impacts the valuation of this and other VC investments.

If Uber's slowed, it is likely that it would still be able to find a buyer in the region of the billions of dollars (perhaps existing investor Google Ventures) and the current investment may well have been as preferred shares (potentially with a ratchet) or partially as convertible notes, limiting downside for investors significantly.

This accounts for a higher valuation than just purchasing ordinary shares.

[June 10, 2014 at 2:50 AM](#)

Aswath Damodaran said...

Pramod,

You may be right but I think that we need more than quotes from Mr. Kalanick to increase that probability. Note that when he talks about the market being several hundred million in SF, he is talking about gross receipts, not the 20% take that Uber has.

I also think that he and the driverless electric car folks are under estimating two real world variables: the first is that for many people, a car is more than a transportation device and the second is inertia: it takes a lot to get people to change.

Finally, what will Uber's role be in a driverless car market? Intermediary? If so, I don't see a 20% cut going to Uber for that role.

[June 10, 2014 at 6:52 AM](#)

Pramod said...

I mostly concur with you on the inertia involved. Now about the 20% cut...

Assuming that Google has a monopoly in driverless cars(at least in its initial years), wouldn't you agree that it will be more profitable for Google to acquire or partner with Uber and create a taxi monopoly?

I cannot see how selling the technology to everyone and sabotaging Uber would be more profitable instead(as Google seems to be the largest investor). Moreover, if they start selling these cars to consumers, everyone can become an Uber by renting their cars when they are free a la AirBnB, as the cars can deliver themselves. So, Google will probably not go that route until it sees some competition.

Under this monopoly assumption, I think the 20% is not only fair but probably low taking into account the cost savings in not having a driver.

[June 10, 2014 at 8:23 AM](#)

danmogot.com Toko online murah terbaik di Indonesia said...



nice to share

[June 10, 2014 at 9:06 AM](#)

Shadab said...



Great analysis as usual.

My biggest issue with Uber is that it does not provide a value proposition to a customer unlike Airbnb or others. For example, at least in NYC, Uber service is more expensive than taxi or even a car service company like Dial7, Carmel, etc (You can price the cars your self on their websites).

[June 10, 2014 at 10:28 AM](#)

Jack Grahl said...



I don't see how the London taxi market can be bigger than the whole of the US, or how London and Tokyo together can make up more than a third of GLOBAL taxi fare turnover.

Something is severely wrong with these figures.

[June 10, 2014 at 10:55 AM](#)

Chetan Chawla said...



Really good analysis, gets to the core narrative of all growth investing (future real options > current business numbers).

Smart entrepreneurs have always used this narrative to get high P/Es. What feeds into this is also the FOMO that most VC's have. Errors of omission are greater (missing on next big thing, i.e. not making 1000X on your investment) than errors of commission (losing 100% of your investment). Asymmetric payoffs drive these valuations.

[June 10, 2014 at 11:52 AM](#)

Jason DaCruz said...



Your analysis was great, professor, and I tend to agree that this valuation is overdone. Just a couple side notes -

Uber is planning on (and, I believe has already done as part of a pilot program) financing vehicles for drivers. As Uber steps in to guarantee the loans, the cars will be used as collateral. Though this may open up the company to liability issues (they may have more difficulty arguing that a driver does not work for them in between fares while driving a vehicle with title held by Uber), it will turn their company towards a more traditional asset-owning cab business.

Additionally, you seem to have left out the logistical side of the business. Some of the sky-is-the-limit valuations believe that Uber is going to be a boon to same-day delivery services. I disagree -- mostly because the standby competition may be more robust than anticipated and because Uber's mapping is woefully inefficient.

Uber relies on Foursquare for locations. Having used Uber in a number of American and international locations, I can attest to the app's convenience, but not to its accuracy. Google and other mapping companies do a much better job and improvement will come at no small cost. The wait times are also incredibly inaccurate. The app seems to use a simple radius model when calculating ETA. While that may work in NYC's grid-like, somewhat homogeneous streets, it falls on its face in other environments.

The above will be a huge impediment to the company if they want to compete with the on-the-fly logistics technology of Fedex, UPS, etc. Those companies have complicated routing algorithms much better suited to same-day delivery service than Uber. Though the company is still young and its core business is growing, the lack of adoption for their fringe offerings (helicopter rides to the Hamptons, on-demand air conditioning, sky-writing on Valentine's day, on-demand courier service) may indicate difficulty in expanding into other businesses.

[June 10, 2014 at 12:43 PM](#)

Aswath Damodaran said...

Jason,

That is the crux of the "logistics" market, right? In effect, Uber is arguing that its market covers the movement of things and people from one point to another (thus covering package delivery, car rentals, moving etc.). The disruption option is for all of these possibilities and in sum, they do add up to a very big potential market. However, Uber's slice of these other markets is definitely not going to be 20%.

[June 10, 2014 at 5:16 PM](#)

Unknown said...



Good to know about your plan and the work you are going to do is looking best for the city people. Waiting for the implementation and success for you work. Best of luck.

[Indian Stock Tips](#)

[June 11, 2014 at 5:45 AM](#)

Anonymous said...



Prof D:

Excellent analysis as always. Did you read the Kevin Rose article about some of these new markets which might shed a bit more light on the option value argument. Here is a link: <http://nymag.com/daily/intelligencer/2013/12/uber-might-be-more-valuable-than-facebook.html>

Also, you similarly opined on Facebook's rich valuation previously. Has your view changed at all such that the company is worth \$170 billion?

[June 11, 2014 at 10:34 AM](#)

Aswath Damodaran said...

Anonymous,

Kevin's article is not an unreasonable one in terms of laying out the possibilities. In fact, if your question was "Is it possible that Uber is worth \$17 billion or more?", the answer is yes. However, investing is about probabilities and the list of things that have to go right for Uber to pull this off is a mile long.

On a different note, while I found Facebook to be richly priced at \$38, I found it cheap at \$18 and chose to leave the stock at \$45 (and posted at each junction). That should give you an answer as to what I think about the company today.

[June 11, 2014 at 11:34 AM](#)

Jono M said...



Thanks for another interesting post.

I like your discussion on disruption, and the numerous pragmatic approaches to valuation.

An observation I heard once seems applicable.

Rarely does the disrupter capture the value for itself that it destroys in the incumbents. Google in advertising, yes, Amazon in retail, likely no....

[June 12, 2014 at 7:42 AM](#)

Jtoro said...



I think one component that is not captured completely in your analysis, and which helps bridge the gap between \$6B & \$17B, is the fact that UBER is absolutely bringing in new users to the taxi user pool. It is cheaper in many locations (Boston ~30%) and this is more than enough of a discount to keep incrementally adding new users to the market. I am an example of this.

This is happening now, and is not a call option. A separate 'new user' revenue layer that also grows at your projected rates is an appropriate way to capture that incremental revenue and growth. Although I would apply a higher growth rate to this layer to account for more rapid uptake.

As a proxy - I never took taxis previous to UBER. I now take 2-3 a week with a total spend of ~\$50. This is in lieu of walking / bus to and from the train station.

[June 12, 2014 at 9:12 AM](#)

Aswath Damodaran said...

Jtoro,

I don't disagree with you on your statement but that is part of the reason I allowed for a 6% growth in a taxicab market, which historically has grown at about 3% a year. If you feel that this is too pessimistic an estimate, increase that annual growth rate. Given the break-even points, you would need an extremely high growth rate to get to \$17 billion. That is why even those who argue for the \$17 billion value have to create new markets that Uber will be able to enter to justify that value.

[June 12, 2014 at 10:34 AM](#)

Aswath Damodaran said...

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I don't disagree with you on your statement but that is part of the reason I allowed for a 6% growth in a taxicab market, which historically has grown at about 3% a year. If you feel that this is too pessimistic an estimate, increase that annual growth rate. Given the break-even points, you would need an extremely high growth rate to get to \$17 billion. That is why even those who argue for the \$17 billion value have to create new markets that Uber will be able to enter to justify that value.

[June 12, 2014 at 10:35 AM](#)

Anonymous said...



I use Uber and it's great. As a matter of fact, you can't reasonably be expected to understand a lot of these new technologies unless you experience them firsthand. Airbnb and Tesla readily come to mind.

[June 12, 2014 at 2:31 PM](#)

Anonymous said...



What's the point of doing such a detailed analysis when you are off by orders of magnitude on key numbers? Mainly that Uber will achieve far more than 10% of currently defined market (in fact, Travis suggested that Uber sales already a *multiple* of taxi/limo sales in SF. That alone annihilates your whole analysis.

[June 12, 2014 at 6:58 PM](#)

Aswath Damodaran said...

If all it takes to annihilate an analysis is a throwaway comment by a CEO that is almost impossible to decipher, you are absolutely right. It is true that in face of uncertainty, you may want to go with fuzzy, feel-good narratives, but unless you plan to invest fuzzy dollars, it is delusional.

[June 13, 2014 at 9:49 AM](#)

Anonymous said...



Following are some assumptions that might change our view:

1. funding isn't 100% equity, maybe some convertible debt instrument
2. Uber's operating model hasn't been fully captured in the model... in fact, it's more like a generic model that can be applied anywhere. Hence, am unclear if you see the possibility of its negative working capital cycle impacting its valuation
3. There are some ambiguous pointers here. I don't see much of R&D, in fact this looks like a 0 R&D growth model. There is a possibility that the revenue streams are linear. Probably, the match making isn't so much automated or they need large customer service and finance teams, maybe there is something missing in our understanding of their operating model
4. And finally, we don't really know the real purpose of raising these funds, maybe a new functionality that extends application to a new market, with similar core-processes but maybe some additional customization

I too am confused here, because I really don't know their operating model and the first question that arises is: why such large a funding requirement? Frankly I don't think your opinion is of the highest quality in this matter.

[June 14, 2014 at 9:16 AM](#)

Unknown said...



Prof,

How does the valuation change if Uber starts owning the cars (with all the cash flow) and instead of the 20% starts grossing the 100% of revenue?

I think that's certainly a possibility?

[June 14, 2014 at 2:11 PM](#)

Anonymous said...



Great article Aswath.

What are your views on potential returns for the latest round of investors?

Back of the envelope, imagine they are targeting 20% return over 5 year hold, doesn't that mean that they believe that they can exit at a company valuation of 40bn or thereabouts. That feels rich to me.

[June 16, 2014 at 6:13 AM](#)

Anonymous said...



Great analysis professor, I just had one question about its finances, now obviously we may not know this first hand. But can someone guess as to what they need all this capital for? I mean if they're not owning cars or leasing them, it seems insane to raise 1.2B USD, surely that seems too much for R&D?

[June 16, 2014 at 1:23 PM](#)

Anonymous Transporter said...

As a transport industry insider, here are a few questions I have to anyone finding it difficult to accept Dr. Damodaran's views:

- 1) Uber is susceptible to undercutting of commission. How would Uber's revenues get affected if there's a new entrant in the market that guarantees 95% of the ride fare paid to the driver?
- 2) Uber is very susceptible to supply (of drivers, hence cars) due to competition. Just like Uber and Lyft on Facebook, and you'll see how these two companies are poaching drivers from the other. You just need to add 3rd and 4th competitor to juice up the game for the drivers
- 3) Uber hasn't yet buckled under the pressure of regulations. That doesn't mean the incumbents will wait forever. My guess is that some of the biggest incumbents are involved in the last few rounds that Uber raised. They'll make their money when Uber IPOs and then let the regulations get stricter (both in laws and enforcement)
- 4) The only saving grace for Uber's valuation to remain true is the possibility of its demand prediction to be integrated with Google's driverless cars. Investing based on that, no matter how unreal or believable it is, is pure speculation/gamble.

[June 17, 2014 at 5:17 PM](#)

Govardhan Avvaru said...

Awesome piece of article with a detailed information is very helpful to the users..!
Regards, [cabs in hyderabad](#)

[June 18, 2014 at 3:05 PM](#)

Anonymous said...

Dear Professor,
Excellent analysis - as usual!
There is one aspect of the question that you might have left out, however. It is, arguably, more difficult to price out in your calculation.
I think Uber's main target may car ownership in large, dense, urban areas, and therefore, car manufacturers.
You should use the app - and you will see why.

Uber has convinced me not to buy a second car - and we live in Los Angeles, of all places. The price and convenience of the service makes it so much cheaper and less cumbersome than leasing/owning a vehicle (once I added in gas, insurance, parking, maintenance and depreciation, I realized buying a second car was just not cost-effective).
Uber's CEO said it himself in the WSJ - his vision is to "turn ground transportation into a seamless service. Basically make car ownership a thing of the past"
(<http://blogs.wsj.com/digits/2014/06/06/uber-ceo-travis-kalanick-were-doubling-revenue-every-six-months/>).
That is the market for auto sales in the US:
<http://research.stlouisfed.org/fred2/series/W240RC1Q027SBEA>
Interesting perspective, isn't it?

[June 19, 2014 at 2:00 AM](#)

Anonymous said...

Most VC investments are basically a convertible note with a liquidation preference.

So, this investment in Uber is most likely like a bond + warrant/option on a way out of the money call option at \$17BN.

The DCF method may not be an appropriate method to evaluate a convertible bond.

[June 19, 2014 at 9:54 PM](#)

Intraday Commodity Market Recommendations said...

That's the fact that global market for taxis and car services may be a big one but it very splintered, with lots of small, local operators dominating each city.

[June 20, 2014 at 7:58 AM](#)

Anonymous said...

Great article and a great example of a DCF analysis of a growth company. There have been a couple of comments regarding the actual deal structure and their point is valid. If the deal was not pure equity, but some kind of preferred stock, we can't simply compare the valuation based on cash flows to the implied pre-money valuation. It's the same thing as saying, in this case, that the price (what we see as the deal) is not necessarily the same as the intrinsic value of the firm. The article does bring this point up.

[June 21, 2014 at 6:30 PM](#)

friv 2 said...

I was searching for something like this for quite a long time and at last I've found it on your blog. It was definitely interesting for me to read about web applications and their market situation nowadays.

June 21, 2014 at 10:37 PM

noel said...



to anonymous:

firm value is independent of financing security used (MM calls it capital structure)

DCF applies to firm value.

you rock prof

June 22, 2014 at 10:31 PM

Anonymous said...



new to this blog, can anyone help me understand, how professor has calculated the market share in year 1 as $B3 + (\$L\$3 - B3)/4$. Why divide by 4?

June 24, 2014 at 2:45 PM

Anand said...



Prof,

Thanks for a great post.

Uber received \$1.2b whereas your assumptions assume Uber turning cash positive after burning just \$60m. Why would Uber need anything more than \$60m, (and may be a little more in year 3 when it starts generating surplus op. cash)?

Surely Uber & investors know something that we don't know of?

So there exists a disruptive business plan, that is worth more than the current operational business and the investors believe this plan.

Given the other similar valuations for other tech companies where value of disruptive option seems to outweigh operational asset value, I think the tech-investor world believes that almost all aspects of our lives would be upended by tech. And that too very soon. Disruption everywhere may be their belief.

Or, the tech-investor world looks at all its investments as a portfolio expecting just a few disproportionate returns.

Thanks,
Anand

June 25, 2014 at 1:15 AM

Anand said...



This comment has been removed by the author.

June 25, 2014 at 1:16 AM

Unknown said...



Google invested \$258 million in Uber giving the company access to Google's tech resources. I wouldn't quite rule out a collaboration between the two in the driverless car market.

June 25, 2014 at 2:37 PM

Kaleberg said...



I'd believe six billion. Uber works very well in Seattle and most likely in a lot of cities that have relatively high density, but an urban car culture. This usually means wretched taxi service and a limited number of existing car companies, unlike places like NYC or London. Seattle is regulating Uber, and there is already an Uber drivers' association to help Uber drivers deal with Uber issues. We've used the service three times now and, unlike Seattle's existing taxi service, we had short waits (less than five minutes), good information, well maintained vehicles (e.g. working seat belts) and direct service.

The main risk is that Uber's primary asset is software. They have smartphone applications and a dispatch system as their primary assets. In theory at least, the existing cab companies could improve their dispatch algorithms and provide similar applications, but I'm guessing that their economics will work against this. A more likely competitor would be a drivers' association adopting its own software and dispatch.

I think your estimate is in the right ballpark, as it seems to account reasonably well for certain limits on the applicability of the Uber model and the limit lifetime of Uber's currently unique approach.

June 28, 2014 at 7:58 PM

Executive Cars said...

Thanks for Amazing Post Keep it Up.
Executive Cars

July 22, 2014 at 3:55 AM

Game Onet said...

Thanks prof. It is really necessary to make these calculations despite the uncertainty and the need to make some assumptions. It forces you to see that the price assigned is too high relative to the calculated intrinsic value despite optimistic assumptions. Whether one acknowledges the over valuation or not is off course a different matter.

Visit my blog :
<http://jembersantri.blogspot.com>
<http://www.jembersantri.com>

August 15, 2014 at 10:48 AM

Nathan Rapport said...

Hi Professor,

First of all, I agree with you that Uber has a very high valuation right now, and I am not personally inclined to invest with them. However, I can see a couple of scenarios where Uber is correctly valued at \$17 B.

First, Uber could achieve a much greater share of the market than you anticipate. It could turn out that like Facebook, the network effect is very important for Uber, and that once it attains a critical mass of users (which it may have already), this will serve as an effective barrier to entry for competitors. If Uber achieves, say, 30% of the total \$100 B market in 10 years, then it is worth its \$17 B valuation.

Second, Uber could increase its take of the cab receipts. An increase from 20% to 40% would give it a \$17 B valuation.

Third, the total market for cabs may be much larger than what you estimated. I did a little digging around and came up with a \$40 B estimate for the current US cab market. The world GDP is about 4.5 times US GDP, so the total market for cabs could be something like \$178 B instead. A 17% share of that market gets you to \$17 B.

Fourth, along the same lines as the last point, the total market for cabs could grow much more quickly than you assumed. This is because services like Uber can make it much more convenient for both riders and drivers to use cabs. I'll give you an anecdotal example. My cousin, who is a well-paid engineer and is not in any way in need of spare cash, is a driver for Uber. He found that he could make an extra \$20-40 per day just by taking extra passengers as he commutes to and from work each day. These are drives that he would make anyway, and now he gets paid for them.

Thanks for your article, very thorough and insightful as always.

December 8, 2014 at 9:40 PM

Unknown said...

Great article thanks. One area that I would like your insight on is the vested interest of the current taxi and [limousine](#) business. Where I live the taxis are limited and licensed (ie medallion). Government, bureaucracy and current license holders have a cornered market. They also typically have an edge with local media. Sometimes this vested interest embraces the safety as a barrier to alternate approaches to their approach. Your thoughts and comments on this element of the competition and effect on market size and growth

December 30, 2014 at 5:23 AM

Film Semi said...

Nice post ,where do you think taxi medallion mkt should be with uber valuations higher or lower? One article said Boston mkt was higher.

February 12, 2015 at 7:51 PM

Free Download Game said...

I would expect them to be lower, if investors truly expected Uber and its competitors to succeed and get a large share of this market. In New York City, the effect has been muted but it is still early.

February 12, 2015 at 7:52 PM

laptop asus said...

I think there is an element missing on liquidation value, which impacts the valuation of this and other VC investments.

July 1, 2015 at 8:58 AM

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